cleared up and the practice of food subsidy paid through NSSF loans stopped. Other investment avenues for investing NSSF AUM also dried up.

Almost the entire net inflow in NSSF in 2021–22 had to be taken by the Government of India. NSSF has become a government financing vehicle only and the government ends up accepting these inflows at costs much higher than the market borrowings.

Government Introduces a New Saving Instrument

In June 2020, the government introduced a new small savings instrument: a variable interest rate bond. This new savings bond is a floating rate taxable savings bond. The first and initial coupon was fixed at 7.15 per cent. The coupon would be reset half yearly from 1 January 2021. The coupon rate, in principle, will be pegged with the prevailing National Savings Certificate (NSC) rate with a spread of 35 basis points over the respective NSC rate.

The variable bond replaced the savings bonds (commonly known as RBI bonds) offered by the government that had a fixed interest rate of 7.75 per cent. The RBI bonds stopped selling from 28 May 2020. The key difference is that the earlier one was fixed and this will be floating, and can thus work as an inflation hedge while saving the government from higher cost when rates are low. However, much will depend upon the ability and willingness of the government to adjust the interest rates of the NSC. If these are not adjusted, the variable saving bond rates will also remain unchanged.

It Is Time to Wind-Up

It is time the Government of India starts winding up the small savings schemes beginning with discontinuing the certificates like National Small Savings Certificates and Kisan Vikas Patras immediately. New fixed and recurring deposits should also be stopped. Post office savings bank accounts